

Waivers Transitional Provisions

Source: <https://www.prarulebook.co.uk/prarules/waivers-transitional-provisions/03-03-2026>

Effective Date: 03-03-2026

Type: PRA Rule

Scraped: 2026-03-02 20:50

1

Application and Definitions

1.1

This Part applies to every _firm_ that is a _CRR firm_.

1.2

In this Part the following definitions shall apply:

CRR permission

means a permission given to a _firm_ by the _PRA_ under any _CRR_ Article listed in column B of the Tables in Schedules 1 and 2 in the exercise of the discretion afforded to it as a _competent authority_.

Waiver

means a direction waiving or modifying a rule given by the _PRA_ under section 138A (waiver or modification of rules) _FSMA_.

1.3

Unless otherwise defined, any italicised expression used in this Part and in the _CRR_ has the same meaning as in the _CRR_.

2

Waivers Transitional Provisions

2.1

1. (1) This rule applies where, immediately before 1 January 2014, a _waiver_ given in relation to a rule listed in column A of the Tables in Schedules 1 and 2 and any condition relevant to the application of that waiver has effect.
2. (2) Subject to paragraph (5), each _waiver_ given in relation to a _PRA_ rule listed in column A of the Tables in Schedules 1 and 2 is treated as a _CRR permission_ given by the PRA to the _firm_ under the _CRR_ Article listed in the same row in column B of the Table.
3. (3) Each _CRR permission_ given in accordance with paragraph (2) shall continue to have effect until the expiry date specified in the _waiver_.
4. (4) Where a _waiver_ listed in Schedules 1 and 2 specifies that it applies to a _firm_ on a consolidated basis in accordance with a relevant provision in _BIPRU_ 8, the _CRR permission_ shall apply to the _firm_ on the basis of its _consolidated situation_ in accordance with Article 11 of the _CRR_.
5. (5) Paragraphs (1) to (4) only have effect in relation to a _waiver_ listed in Schedule 1 where the _firm_ has confirmed

to the _PRA_ that it materially complies with the requirements relevant to the _rules_ listed in Column A of the Table, as waived or modified by the _waiver_ , and any conditions relevant to the application of the _waiver_ or the _firm_ has a remediation plan.

6. (6) Any condition relevant to the application of the waiver shall have effect on 1 January 2014 until the expiry date specified in the waiver.

7. (7) A _waiver_ listed in row 1 of the Table in Schedule 2 (individual consolidation method) only includes a deemed _waiver_ under the PRA's prudential sourcebook for Banks, Building Societies and Investment Firms transitional provision 22.3R where a _firm_ has confirmed to the _PRA_ that the solo consolidation minimum standards are met with respect to the relevant _subsidiary undertaking_.

2.2

1. (1) This rule applies where, immediately before 1 January 2014, a _waiver_ given in relation to a _rule_ in the PRA's supervision manual listed in column A of the Table in Schedule 3 has effect.

2. (2) Each _waiver_ given in relation to a _rule_ in the _PRA's supervision manual_ listed in column A of the Table in Schedule 3 is to be treated as a _waiver_ given by the PRA to the _firm_ under the _SUP rule_ listed in the same row in column B of the Table.

Schedules

Schedule 1

Internal model waivers

| CRR Permission| Column A

PRA/FCA Rule

(rule waiver or modification)| Column B

CRR Reference

---|---|---|---

1 | Internal Ratings Based (IRB) permission for credit risk | \- _BIPRU_ 4 applies to a _firm_ with an _IRB permission_

\- _Rules_ waived or modified:

(a) _GENPRU_ 2.1.51R

(b) _BIPRU_ 3.1.1R | \- Part Three, Title II, Chapter 3

\- Art. 143

\- Art. 178.1(b) (where a _firm_ is authorised by its _IRB waiver_ to use a 180 days definition of default for exposures secured by residential real estate in the retail exposure class, as well as for exposures to public sector entities)

2 | Eligibility of physical collateral under the IRB Approach | \- _BIPRU_ 4.10.16R

(Where authorised by the _firm's_ _IRB permission_) | Art. 199.6

3 | Master netting agreement internal models approach | \- _BIPRU_ 5.6.1R in accordance with _BIPRU_ 5.6.12R | Art. 221

4 | Supervisory formula method for securitisation transactions | \- _BIPRU_ 9.12.3R

\- _BIPRU_ 9.12.5R

\- _BIPRU_ 9.12.21R

(Where authorised by the _firm's_ _IRB permission_) | Art. 259.1(b)

Art. 262

5 | ABCP internal assessment approach | \- _BIPRU_ 9.12.20R

(Where authorised by the _firm's _IRB permission_) | Art. 259.3

6 | Exceptional treatment for liquidity facilities where pre-securitisation RWEA cannot be calculated | \- _BIPRU_ 9.11.10R as modified in accordance with _BIPRU_ 9.12.28G

(Where authorised by the _firm's _IRB permission_) | Art. 263.2

7 | Advanced Measurement Approach (AMA) permission | \- _BIPRU_ 6.5 applies to a firm with an _AMA permission_

\- _Rule_ waived or modified: _BIPRU_ 6.2.1R | \- Art. 312.2

\- Part Three, Title III, Chapter 4

8 | Combined use of different approaches for operational risk ? AMA and standardised approach or basic indicator approach | \- _BIPRU_ 6.2.9R

(in accordance with _BIPRU_ 6.2.10G and the _firm's _AMA permission_) | Art. 314,

par. 2 and 3

9 | Permission to use internal models to calculate own funds requirements for market risk (Value at Risk) | \- _BIPRU_ 7.10 applies to a firm with a _VaR model permission_

\- _Standard market risk PRR rules_ as specified and waived or modified by the _firm's VaR model permission waiver_

\- _GENPRU_ 2.1.52R | \- Art. 363

\- Part Three; Title IV; Chapter 5; Sections 2, 3 and 4

10 | Permission to use internal models to calculate own fund requirements for the correlation trading portfolio | \- _BIPRU_ 7.10.55T R to
BIPRU 7.10 55ZA R

(Where the _firm_ is authorised to use the _all price risk measure_ in its _VaR model permission waiver_) | Art. 377

Schedule 2

Other Waivers and Requirements

| CRR Permission| Column A

PRA/FCA Rule

(rule waiver or modification)| Column B

CRR Reference

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1 | Individual consolidation method | \- _BIPRU_ 2.1.7R

(_Solo consolidation waivers_)

| Art. 9

2 | Application of requirements of

Part Five (exposures to
transferred credit risk) on a
consolidated basis

| \- _BIPRU_ 9.15.16A R | Art. 14.3

3 | Entities excluded from the scope of prudential consolidation

| \- _BIPRU_ 8.5.9R

\- _BIPRU_ 8.5.10R

| Art. 19.2

4 | Permission to revert to the use of a less sophisticated approach for credit risk | \- _BIPRU_ 4.2.23R (as modified in accordance with _BIPRU_ 4.2.25G) \- _BIPRU_ 4.2.24R (as modified in accordance with _BIPRU_ 4.2.25G)

| Art. 149

5 | Traditional securitisation ? recognition of significant risk

transfer | \- _BIPRU_ 9.4.11R

\- _BIPRU_ 9.4.12R

(subject to conditions in

BIPRU 9.4.15D)

| Art. 243 par. 2, 3, 4 and 5

6 | Synthetic securitisation ? recognition of significant risk transfer

| \- _BIPRU_ 9.5.1R (6) and(7) (subject to conditions in _BIPRU_ 9.5.1B D)

| Art. 244, par. 2, 3, 4 and 5

7 | Securitisations of revolving exposures with early amortisation provisions ? similar transactions | \- _BIPRU_ 9.13.11R \- _BIPRU_ 9.13.13R \- _BIPRU_ 9.13.14R \- _BIPRU_ 9.13.15R \- _BIPRU_ 9.13.16R \- _BIPRU_ 9.13.17R (subject to conditions in

BIPRU 9.13.18G)

| Art. 256.7

8 | Permission to revert to the use of a less sophisticated approach for operational risk | \- _BIPRU_ 6.2.5R (as modified in accordance with _BIPRU_ 6.2.6G)

\- _BIPRU_ 6.2.7R (as modified in accordance with _BIPRU_ 6.2.8G)

| Art. 313

9 | Combined use of different approaches for operational risk

? standardised approach and basic indicator approach

| \- _BIPRU_ 6.2.12R (as modified in accordance with _BIPRU_ 6.2.13G) | Art. 314.4

10 | Waiver of the 3 year average for calculating the own funds requirement under the basic indicator approach for operational risk

| \- _BIPRU_ 6.3.2R (as modified in accordance with _BIPRU_ 6.3.9G) | Art. 315

11 | Waiver of the 3 year average for calculating the own funds requirement under the standardised approach for operational risk

| \- _BIPRU_ 6.4.5R (as modified in accordance with _BIPRU_ 6.4.8G) | Art. 317.4

12 | Own funds requirements for position risk for options and warrants on:

(a) interest rates; (b) debt instruments; (c) equities; (d) equity indices; (e) financial futures; (f) swaps; and (g) foreign currencies

| \- _BIPRU_ 7.9 applies to a _firm _with a

CAD1 model waiver. \- _Rules_ waived or modified:

(a) _GENPRU_ 2.1.52R (b) _BIPRU_ 7.6.1R | Art. 329

13 | Own funds requirements for commodities risk for options and warrants on:

(a) commodities; and (b) commodities derivatives | \- _BIPRU_ 7.9 applies to a _firm_ with a _CAD1 model waiver_.

\- _Rules_ waived or modified:

(a) _GENPRU_ 2.1.52R (b) _BIPRU_ 7.4.1R

| Art. 358.3

14 | Interest rate risk on derivative instruments | \- _CAD1 model waiver_ for the use of an interest rate pre-processing model in accordance with _BIPRU_ 7.9.44G

\- _Rule_ waived: _GENPRU_ 2.1.52R

| Art. 331 Art. 340

15 | Waiver of 100% large exposure limit where the ?150 million limit applies | \- _BIPRU_ 10.6.32R ? As waived in accordance with _BIPRU_ 10.6.33G

\- _SUP_ 15.3.11R | \- Art. 396 in relation to the 100% large exposure limit set out in Art. 395(1)

16 | Waiver of large exposure limits in relation to intra-group exposures: core group waivers | \- _BIPRU_ 3.2.25R(2) \- _BIPRU_ 10.8A | Art. 113.6

Art. 400.1(f)

17 | Waiver of large exposure limits in relation to intra-group exposures: non-core group waivers | \- _BIPRU_ 10.9A | \- Art. 400.2(c) as implemented by rule 2 at Annex I of the PRA Rulebook CRR Firms

Instrument 2013

18 | Waiver of large exposure limits in relation to sovereign exposures | \- _BIPRU_ 10.6.34R as waived in accordance with _BIPRU_ 10.6.37G | \- Art. 400.2(g) and (h) as implemented by rule 3 at Annex I of the PRA Rulebook CRR Firms Instrument 2013

Schedule 3

Waivers in Supervision Manual (SUP) 16

Column A

SUP 16 rule as in force until 31 December 2013| Column B

SUP 16 rule as in force from 1 January 2014

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SUP 16.12.11R | SUP 16.12.11B R

SUP 16.12.12. R | SUP 16.12.12A R

SUP 16.12.15 R | SUP 16.12.15B R

SUP 16.12.16 R | SUP 16.12.16A R

SUP 16.12.22A R | SUP 16.12.22C R

SUP 16.12.25A R | SUP 16.12.25C R

SUP 16.12.26 R | SUP 16.12.26A R